

Table 23.9 Busted Patterns

Description	Up Breakout	Down Breakout
Busted patterns count	77 or 22%	44 or 35%
Single bust count	36 or 47%	30 or 68%
Double bust count	23 or 30%	2 or 5%
Triple+ bust count	18 or 23%	12 or 27%
Performance for all busted patterns	−12%	34%
Single busted performance	−19%	48%
Non-busted performance	−19%	39%

Failures over time. This shows how many patterns fail to see price move more than 5% after the breakout. The sample counts are few, totaling 46 for upward breakouts and just 19 for downward ones. I'd ignore the results, especially the 26% failure rate (bull market, 2010s). All three decades have samples counts ranging from 110 to 121 (up breakouts only), so it's not a low-sample-count problem. The numbers might be correct.

Table 23.9 show busted pattern performance.

Busted patterns count. Diamonds bust frequently, but not as often as other chart pattern types.

Busted occurrence. Sorting the busted patterns into single, double, and more than two busts (triple+) shows that single busted patterns happen most often. Which one comes in second depends on the column you're looking at. It's typical for triple+ to place second in frequency (downward breakouts show this).

Busted and non-busted performance. If you're lucky enough to trade a single busted pattern, you can do as well or better than non-busted diamonds. Of course, you have to trade it perfectly and often to match the rates shown in the table. Good luck with that, but the 48% gain after a downward breakout makes me want to wait for a diamond with a busted downward breakout to come along. Maybe I can hitch a ride.